Value Investing Club Newsletter



Gabelli School of Business
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Fordham's Value Investing Club

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Value Investing Club
FORDHAM UNIVERSITY

Fordham's Value Investing Club

Newsletter (October 2023)

Overall Economy

10/20	▼ DJIA	$ 33,122.47	(2.33%)
10/20	▼ S&P 500	$ 4,225.82	(3.04%)
10/20	▼ S&P 500 Value Index	$ 1,504.10	(1.14%)
10/20	▼ Nasdaq	$ 12,982.81	(3.81%)

- Major stock indexes end the week lower with the technology sector being one of the biggest drags
- Investors are preparing for more interest rate hikes and possible escalation of the Israel-Hamas conflict
- U.S. weekly jobless claims are at a nine month low
- The 10 year U.S. note briefly topped 5% on Thursday for the first time since 2007
- 78% of the 86 companies in the S&P 500, that have reported earnings, have beat expectations



Consumer Discretionary

By: Mohammed Hossain

The Consumer Discretionary industry is cyclical based on whether the economy is expanding or contracting and whether consumers feel like saving or spending. Each sector within this industry is affected differently based on other economic trends. In 2022, the economy faced peak inflation of 9% YOY, leading to the Federal Reserve hiking interest rates to decrease spending and slow growth. With bank failures and waves of layoffs, people were scrambling to figure out what to do with their money. Personal savings dropped to as low as 2.7% from a high of 26% in 2021. With the economy contracting and individuals' lack of saving and fear of spending, consumer discretionary stocks suffered greatly. Vanguard's Consumer Discretionary Fund (VCR) was valued at $355 per share in November 2021 but dropped to $214 in December 2022.

Nevertheless, in 2023, inflation has significantly plummeted while wage growth has increased greatly (Statista). Companies have adjusted to the new interest-rate economy and aren't suffering as much with debt. As a result, U.S. layoffs dropped nearly 50% from May to June, reaching a seven-month low (Bushard, Forbes). Personal savings increased in the months before the summer of 2023 (FRED), which saw consumers pour their money into vacations and other non-essentials. The economy has recovered very well, which saw a boom in the stock market. VCR has a year-to-date return of 25%, nearly double that of the S&P 500. VCR focuses its holdings across several sectors, capitalizing on the growth of the largest companies, like Amazon, Tesla, Nike, Home Depot, McDonald's, etc.

The ups and downs of the economy have left a psychological impact on consumers. They are spending their money on a once-in-a-lifetime experience because they might be unable to do it later (Hussain, WSJ). Michael Liersch, head of advice at Wells Fargo, stated, "It's not a regret-filled, spur-of-the-moment decision. It's the opposite of that, where I would regret not having done it," which shows the fear of missing out on vacation coupled with improved purchasing power has driven consumer discretionary spending (Hussain, WSJ). Vacation spending, categorized as consumer discretionary, aligns with the travel and hospitality sector, which has exhibited robust performance throughout 2023. Delta Airlines has experienced an impressive YTD stock surge of 13.5%, reflecting renewed confidence in the travel industry. Likewise, Marriott International has asserted its dominance in the hotel sector, marking an outstanding YTD stock increase of 34.5%.

Similarly, the restaurants and food services sector has experienced an upswing, primarily driven by increased consumer discretionary spending. For instance, Starbucks achieved a remarkable milestone by generating $8.7 billion in revenue in Q1 of 2023, marking its highest quarterly revenue (Statista). Starbucks has beaten many analysts' expectations for Q2 and Q3 and has improved its operating margin (Yahoo). Moreover, the company has a track record of delivering consistent dividend payments over the years and will increase it to $.57 per share for the quarter. Their expected annual dividend yield will reach 2.48%, which is good but below competitors like Wendy's, who pay 5.23%. Despite so much positive news, Starbucks stock is down 9% YTD. They have had a phenomenal year and expect to continue improving over 2024, so this is a great buying opportunity.

Starbucks Overview

Starbucks Corp
SBUX

Business: Starbucks is a global cafe that sources, roasts, and sells high-quality coffee, along with variety of food and beverages.

Stock Information

Price	$91.42
52 Week Range	$82.42- $115.48
Market Cap	$107.87B
Dividends per Share	$2.28

Important Financials

Revenue	$9.17B YOY
Profit Margin	10.81%
P / CF Ratio	35.06
P / D Ratio	40.10
P / E Ratio	28.68
D / E Ratio	-1.62
Earnings Per Share	$3.28
Return on Equity	-44.24%

2023 PLAN

	PLAN	Q1	Q2	Q3
COMP SALES:	7%-9%	5%	11%	10%
STORES:	2500	459	464	588
REVENUE:	10%-12%	8%	14%	12%
MARGIN:	HIGHER	LOWER	HIGHER	HIGHER
EPS:	15%-20%	7%	36%	25%



Tesla isn't a traditional consumer discretionary stock but has experienced immense growth because of the technology, automotive sector, and economic expansion. While their automotive sales have increased, several other factors have contributed to Tesla's remarkable success. Tesla is renowned for its role in the electric vehicle industry and its significant investments in services related to Environmental, Social, and Governance (ESG) principles. Tesla also consistently gathers valuable data to advance autonomous driving technology, foster innovation, and more. In the era of rapid artificial intelligence development and the heightened excitement surrounding platforms like ChatGPT, Tesla has embraced these advancements with the rest of the tech world. Tesla stands out with one of the most impressive stock returns, surging by 144% YTD.

The consumer discretionary industry's roller-coaster journey reflects the importance of economic conditions, consumer sentiment, and various sector-specific dynamics. The drastic shifts witnessed in recent years, from the economic downturn in 2022 to the remarkable resurgence in 2023, have left a significant psychological impact on consumers. In the face of peak inflation, interest rate hikes, and economic uncertainty, savings plummeted, and consumer discretionary stocks suffered. However, the subsequent year marked a turnaround, with declining inflation, increased wage growth, and reduced layoffs, leading to a rise in personal savings. This, in turn, unleashed a wave of consumer spending on once-in-a-lifetime experiences. Various sectors, from travel and hospitality to technology and automotive, have thrived in response to this surge in consumer discretionary spending, exemplified

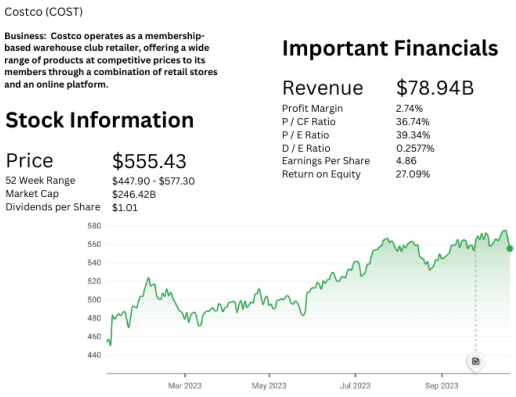
by impressive stock market returns, like Tesla and Marriott. Tesla's exceptional growth underscores the convergence of technological innovation and consumer demand. However, sectors like restaurants and food services increased their revenue, but their stock value suffered, opening opportunities to buy them at cheaper valuations. This dynamic landscape illustrates how the flow of the economy the consumer discretionary sector, offering opportunities and challenges that reflect the evolving aspirations and behaviors of consumers and companies in an ever-changing world.

Consumer Staples

By: Anson Li

In 2023, the consumer staples sector has been one of the worst-performing sectors, experiencing a 9.1% year-to-date decline. This is abnormal considering the fact that consumer staples are typically considered defensive investments that should do well in times of economic uncertainty (Wang). However, rising U.S. Treasury yields, peaking at 4.804%, have made these stocks less attractive compared to bonds or other investments as the economy remained strong (MarketWatch). Despite their recent underperformance, some analysts see consumer staples stocks as undervalued, with the potential for a favorable entry point due to low price-earnings ratios. For example, the Consumer Staples Select Sector SPDR Fund was trading at a 2% discount to the broader stock market. However, compared to other rate-sensitive sectors like utilities and real estate, consumer staples are still relatively expensive. The upcoming third-quarter earnings season is seen as important for consumer staples stocks, but the outlook remains uncertain. Meanwhile, the Fed plans to implement a "higher-for-longer" strategy to push interest rates higher than the current target of around 5.25-5.50%, and then steadfastly keep rates at that level to bring inflation to a heel (Golle and Stirling). The S&P 500 consumer staples sector saw a 0.6% decline, indicating the ongoing challenges facing these stocks.

Costco



Costco is the fifth largest consumer staples company in the world, with a market cap of $231.06 billion, maintaining its reputation as one of the titans in the retail and consumer goods industry (Umair). Kirkland Signature, their subsidiary, produces groceries, clothing, and household essentials. Their prices are significantly lower than the competition, but the fee of entry comes at the price of a membership card. Additionally, they are partnered with top companies such as Starbucks, Keurig, Duracell, etc. With seasonal products, Costco always has revenue flowing. During the third quarter, the company's total revenue amounted to approximately $53.65 billion, consisting of $1.04 billion derived from membership fees and $52.6 billion from net sales. This represented a 2% growth compared to the same period last year. That marked a year-over-year increase of 2%. Its quarterly net income, meanwhile, came in at $1.3 billion. Costco isn't looking just towards providing

retail goods but is partnering with start-up Sesame, a health care start-up to start providing health care services for its members (Murphy). Sesame has pegged the price to be around $29 for virtual primary care, $72 for health check-ups, and $79 for virtual mental health therapy. Costco is sitting in a very comfortable position, with its gross margin, operating margin, pretax margin, and net margin all in the positive, coming in at +12.26, +3.35, +3.50, and +2.60, respectively (WSJ). Going into the next fiscal year, Costco will still remain at the top of their respective industry.

Energy

By: Griffin Reinhardt-Hepler

In early May 2023, following a sharp, brief drop in U.S. gas prices, the energy sector experienced a nearly 13% decline in the XLE ETF from late April. Despite a subsequent recovery of almost 10% from May to October, the energy sector continued to underperform the S&P 500. The situation took a potential turn with the Israeli-Palestinian conflict, raising concerns about U.S. oil access due to the unstable Middle Eastern political climate. This instability could lead to increased gas prices, benefiting large energy companies' revenue. While investors initially reacted with caution, causing a short-term 3.7% rise in XLE before stabilizing, ongoing geopolitical tensions could further disrupt the energy sector. Investors are used to constant threats in the Middle East, so the market reaction to this was relatively short-term and unextreme. However, the volatile nature of the conflict means that geopolitical tensions in the Middle East could escalate at any moment, shaking up the energy sector.

Exxon, the largest U.S. oil company with a market capitalization of $424 billion, strategically positioned itself amid the Israel-Palestine conflict. Recently, Exxon acquired Pioneer Natural Resources for $59.5 billion, expanding its oil drilling capabilities, particularly in Texas. In contrast to its competitors, Exxon's significant oil supply from Qatar might be less affected by the Middle East unrest. With the potential escalation of the conflict, Exxon stands to gain higher oil access, increasing its revenue and share price. Trading at $106.47 per share and an 8.52 P/E ratio, Exxon offers a cheaper investment than Chevron, trading at $163.23 per share and a P/E ratio of 10.22. Based on the merger with Pioneer and the potential for a war in the Middle East, Exxon is far more valuable than Chevron despite trading for a cheaper value. The acquisition of Pioneer signals that Exxon is doubling down on fossil fuels. Biden's administration aims to switch the U.S. from being dependent on fossil fuels to renewable energy by 2030, causing some investors to be cautious in investing in a company like Exxon, which has doubled down on oil. However, it's important to note that ExxonMobil is exploring renewable energy solutions while still keeping its financial leverage and operating costs low. Although investor concerns have impacted Exxon's stock



price, the company's strategic moves and market stability make it a safe investment, especially considering its beta of 1.05, indicating similar volatility to the overall market.

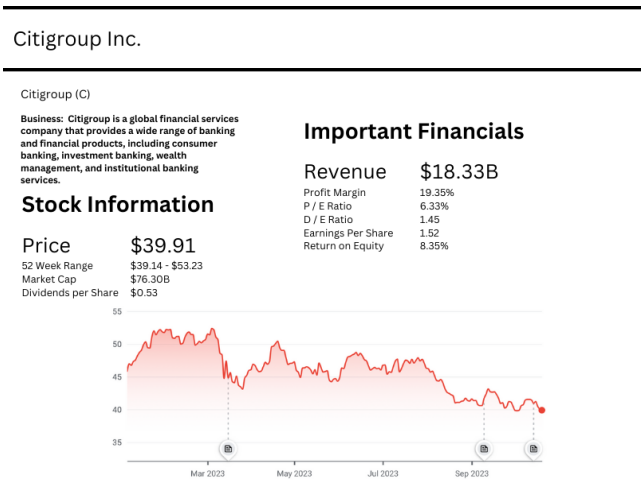
In summary, Exxon's merger with Pioneer, coupled with the potential disruptions in Middle Eastern oil access, positions the company as an undervalued, long-term investment. Despite the energy sector's challenges and evolving market dynamics, Exxon's strategic initiatives and stability make it an attractive choice for investors looking for enduring value.

Financials

By: Erwan Pal

The financial services industry has been on the up since the string of bank failures earlier in the year, as higher interest rates have propelled a surprisingly strong quarter for many of the big name banks. Unfortunately though M&A work has tanked as of late, with most of the banks still far below their 2021 levels. The biggest issue with the M&A work is the low economic growth forecasted by most economists right now, and this is leading analysts to believe this lull in deal volume to continue well into the rest of the 2020's. The biggest stream of income for banks in terms of viability is the asset management wings, which have consistently provided cash flows through this tumultuous year for banks. The continuous decline in trading volumes hasn't been pretty for banks such as PNC who are still declining YoY with revenue, but a surge of IPO's including Instacart's has helped some leadership committees stay optimistic.

A specific stock to look out for is Citigroup, a bank that has been struggling with its bottomline. A recent article by the WSJ pointed out that they are in the process of "cutting layers of managers" so that they can streamline not only the decision making process, but also the payroll at the end of the month. The reason we believe this is a stock to watch out for, especially for value investors is the fact that Warren Buffet has taken a big stake in the company, nearly 3% of his portfolio is invested into Citigroup as they look to right the ship and increase shareholder value. It is also of note within the article that their price is currently 48% of their tangible book value, giving serious upside for the future of the stock. This also is supported by the fact that their core businesses are much less risky then some banks that have struggled including the failed SVB. They still have serious retail consumer exposure but the increased rates from the federal reserve continue to help the banks bottom line. Overall, if leadership can continue to trim the extra weight and make strategically sound decisions then the stock is poised for a strong end to 2023.

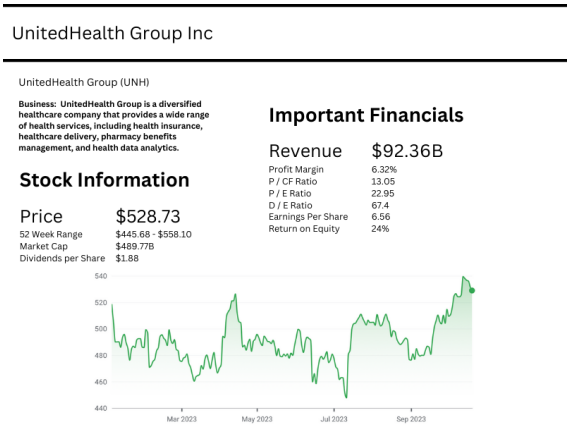


Healthcare

By: Sean Gaughan

The year 2023 has been an especially bad year for the healthcare sector. The S&P 500 healthcare index is down 4.92% since the beginning of the year. Contrast this with the broader S&P, which is up 12.72% this year, and one can see how poorly healthcare stocks are performing (Barron's). However, this general poor performance in the healthcare sector could highlight investment opportunities for stocks that are undervalued. The healthcare sector is known as a "defensive sector," a sector that fairs comparatively well during recessions relative to the broader economy (Chen). The flip side of this is that in expansionary periods, they tend to perform below the market. This is attributable to their lower market risk. With that being said, if someone were to believe that a recession is coming, that would justify buying healthcare stocks right now — they are relatively cheap and they perform especially well during contractionary economic periods.

A few stocks in this industry are particularly exciting. The first is Moderna. Moderna is down nearly 60% from its peak price (Barron's). Next year, Moderna plans to launch a vaccine for respiratory syncytial virus. On top of that, they hope to launch new vaccines that would protect against multiple viruses at once. Another stock in this industry is UnitedHealth group. UnitedHealth Group is trading slightly up from the beginning of the year, so it is harder to make the case to buy UnitedHealth on a discount price, but with that being said earnings are expected to grow 12% in the next 12 months, and this is a stock that would perform relatively strongly should there be a recession, since health insurance is very inelastic (Nathan-Kazis). A final stock that could be a good buy in the healthcare industry is McKesson, a company that delivers medicine to hospitals and pharmacies. Because of difficult operational logistics, it is a hard business to replicate making them a powerful player in the market. In addition, quite literally hundreds of millions of Americans pick up medical prescriptions every month, something not likely to change due to economic conditions, meaning their business is safe. Sales are expected to grow 10% in 2024 and earnings are expected to grow 4.8%. It also has a P/E ratio of around 17, which makes it cheap when compared to similar stocks being traded (Rivas).



To conclude, the healthcare sector has had a bad year. However, this can create investment opportunities as certain companies may be cheaper buys. In addition, with a potential recession heading our way, it is noteworthy that healthcare stocks have historically outperformed other industries in previous recessions, making them safer bets.

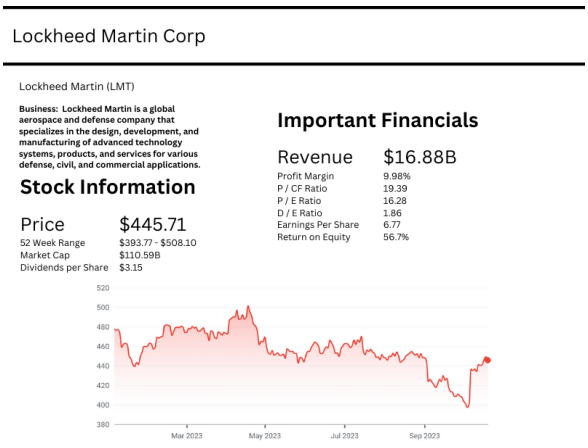
Industrials

By: Tyler Takechi

The industrial sector holds a pivotal role in the global economy, fostering economic growth and development while employing millions worldwide. This sector encompasses companies involved in manufacturing and distributing capital goods, transportation services, and commercial services. Capital goods are long-lasting assets used to produce other goods and services. When industrials come to mind, some of the key players in the sector include:

- **Aerospace and defense:** Boeing, Airbus, Lockheed Martin, Northrop Grumman,
- **Automotive:** General Motors, Ford Motor Company, Toyota Motor Corporation, Daimler AG
- **Construction and engineering:** Caterpillar, Deere & Company, 3M, Honeywell
- **Electrical equipment and heavy machinery:** Siemens, General Electric, ABB, Hitachi

Despite its significance, the industrial sector faces several immediate challenges. Rising inflation, economic uncertainties, and slowing demand for industrial space present substantial hurdles. These factors have resulted in sluggish leasing activity, rising vacancy rates, declining absorption, slowing rent growth, and delays in new construction. Despite these challenges, the industrial sector is well-positioned for long-term growth, driven by the development of e-commerce and manufacturing.



The current industrial landscape reveals a slowdown in demand and a rise in vacancy rates. Businesses exercise caution due to escalating costs, supply chain disruptions, and global conflicts like the one in Ukraine. Leasing figures plummeted by 46.9% year-over-year in Q2, accompanied by a 41.3% decline in industrial space absorption. Consequently, vacancy rates have spiked to 4.2%, up from the pre-pandemic rate of 3.2%.

This rise in vacancy rates exerts pressure on rental rates, compelling landlords to offer incentives to attract tenants. In the face of these challenges, landlords are adapting by offering incentives such as free rent periods and tenant improvement allowances to attract tenants. Although the asking rents for industrial space increased by 18.4% year-over-year in Q2 2023, this rate of growth is

anticipated to slow significantly in the coming quarters, reflecting the evolving market dynamics and economic uncertainties.

Despite these challenges, there are bright spots within the industrial sector. The sustained demand for e-commerce space remains robust due to the ongoing growth of online shopping. Additionally, the manufacturing sector is showing signs of recovery, evident in recent output increases. However, these challenges have also impacted the construction sector, causing a 41.3% year-over-year decrease in new groundbreakings in Q2. Developers are exercising caution and uncertainty regarding the market's trajectory, impacting the industry's growth.

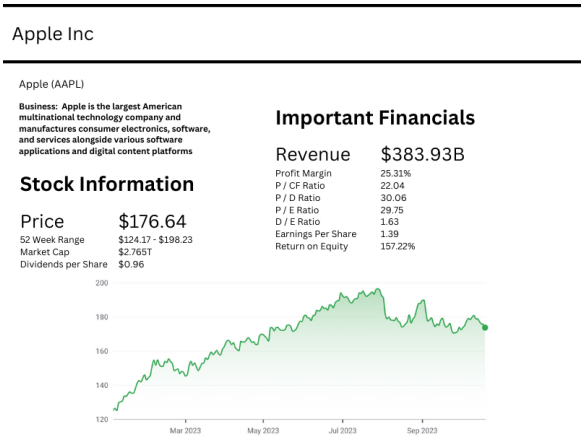
Looking forward, the next six months will be pivotal in determining the market's direction through the end of 2024. Reduced activity among large corporate occupiers could further dampen leasing velocity and increase vacancy rates, posing challenges for the industrial sector. In summary, while the industrial sector faces immediate hurdles such as sluggish demand, rising vacancy rates, and downward pressure on rental rates, it also presents promising opportunities. Continued e-commerce expansion and signs of recovery in the manufacturing sector offer optimism for the industry's future. Investors should carefully consider these challenges and opportunities when making decisions in the industrial sector.

Macro Overview

By: Benito Moneta

In the second quarter of 2023, the U.S. economy experienced positive growth, with Real GDP increasing by 2.1%. This growth was driven by significant upticks in business investment, consumer spending, and state and local government expenditures. Concurrently, the reduction in high domestic imports contributed to the overall GDP increase. The employment landscape remained stable, as reported by the Bureau of Labor Statistics, with the unemployment rate in April 2023 showing minimal deviation from the previous year. Notably, this period marked only the second instance since May 1969 when the unemployment rate fell below 3.5%.

Economic indicators also revealed inflationary trends. According to the U.S. Labor Department, the annual inflation rate stood at 3.7% as of August 2023. This trend was underscored by a 0.4% increase in the Consumer Price Index (CPI) for September, primarily influenced by rising gasoline prices. Examining a 12-month perspective, the CPI for all items rose by 3.7%, while food and energy prices increased by 3.7% and declined by 0.5%, respectively. Items other than food and energy experienced a 4.1% increase.



Internationally, the International Monetary Fund (IMF) highlighted concerns about the global economy, emphasizing the sharp rise in prices and the cost-of-living crisis faced by nations outside the United States. The IMF warned of potential deteriorations in global financial conditions, potentially strengthening the dollar and exacerbating inflation and financial vulnerabilities, particularly in developing countries.

Amidst these economic fluctuations, Apple, a leader in the Utilities and Technology hardware sectors, remained a robust investment. Despite a slight decline of 0.93% in revenue for the twelve months ending June 30, 2023, Apple boasted a substantial net cash reserve of over $80 billion. Furthermore, the company generated an impressive free cash flow of $101 billion over the past four quarters. Apple's commitment to shareholders was evident through dividends exceeding $14 billion paid out in the last year.

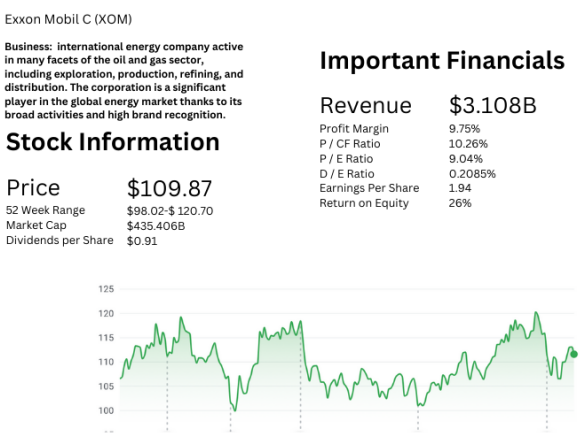
Materials

By: Baudilio Cardoza

The materials sector consists of businesses engaged in the extraction, processing, and distribution of raw materials, and resources are included in the materials sector. Due to the fact that it provides the framework for construction and production, this industry is essential to many others. It covers subsectors like metals, forestry, mining, and chemicals. The success of the materials sector is influenced by a number of variables, including commodity prices, industrial demand, and global economic trends. Since it is directly related to economic swings, it can be cyclical. Investors frequently track it to gain information about the state of the economy as a whole (Investopedia).

Furthermore, Global economic developments are intrinsically tied to the success of the materials sector. Demand for manufacturing and construction is boosted by economic expansion, fostering the sector's success. In contrast, the materials industry frequently experiences challenges during economic downturns, making it a crucial indicator of the overall health of the economy. The materials industry is renowned for being cyclical. The profitability of businesses operating in the sector can be significantly impacted by changes in the price of commodities like metals, oil, and timber. Investors and business insiders must therefore continue to pay close attention to market trends (Investopedia). Sustainability has become a prominent subject in the materials industry in recent years. In order to address the rising demand for ecologically friendly products, businesses are progressively implementing eco-friendly practices and investigating cutting-edge materials.

Exxon Mobil



Exxon Mobil Corp is a company that falls within the material sector. The company is an American multinational oil and gas company (Exxon). As of October 15th, Exxon Mobil's share price is $109.87, its Earnings per Share equaled $12.50, and had a PE Ratio of 8.792 (Y-Chart). The company's net income is down 16% and its operating cash flow is down 14% in comparison to last

period. On a yearly basis, however, these numbers have been slowly increasing (AlphaSpread). Exxon Mobil has just announced the acquisition of Pioneer Natural Resources, its largest acquisition since 1999 (ExxonMobil). This will expand their operations in the Permian Basin (the most productive oilfield in the US). As such, there are clear opportunities for Exxon Mobil Corp to provide value to investors in the near future.

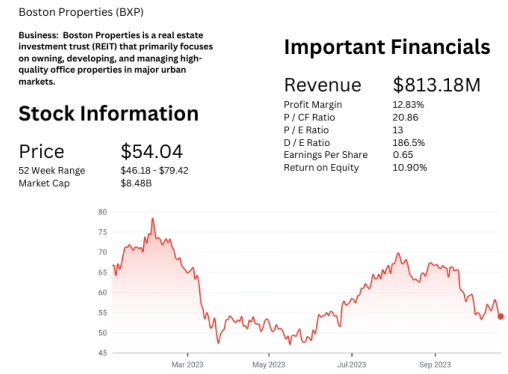
Even if the materials industry doesn't often grab the spotlight, its influence on how our world is shaped cannot be disputed. The materials industry plays a crucial role in our contemporary lives, from the foundations of our homes to the gadgets we use every day. It still has great promise as it embraces sustainability and adjusts to changing economic conditions. Keep an eye out for the next newsletters where we will go into more detail on the trends and industries that make up this dynamic industry.

Real Estate

By: Dylan Svets

The Real Estate Sector refers to a broad and diverse industry that deals with buildings, land, and property. It comprises three main sections: residential real estate, commercial real estate, and industrial real estate. Generally speaking, real estate stocks have been outperformed by the wider stock market in the S&P 500 over the past year. The S&P 500-60 has had a 1.99% decrease while the S&P 500 as a whole has had a 20.65% increase in stock value (Barron's). Since the real estate sector historically outperforms the broader market, the current market environment is abnormal. However, the current environment is one in which interest rates are high and look to continue to rise after the Fed's most recent September meeting. Furthermore, there is an expectation that interest rates will remain high well into 2024. Specifically, in the case of commercial real estate, high vacancy rates and low employee attendance rates have lowered the demand for their services.

Boston Properties, Inc.



Boston Properties is a publicly traded REIT that invests in premier real estate workplaces in Boston, New York, San Francisco, Seattle, and Washington D.C. Currently, their stock price is $55.55, which is the lowest it has been in the past year. As of June 2023, their Price-to-earnings ratio is 12.78, and their EPS is 0.66. The Price to book ratio is 1.01, and they are valued at 8.72B (Yahoo). Boston Properties' upside is that the current vacancy rates are still high compared to the era prior to COVID-19. According to CNBC, remote work made up five percent of the workforce. When COVID-19 hit, that number jumped to almost sixty percent and has since been steadily declining to today's rate of 27% (Icacuri). If this trend continues, the demand for office space will increase, and Boston Properties will profit.

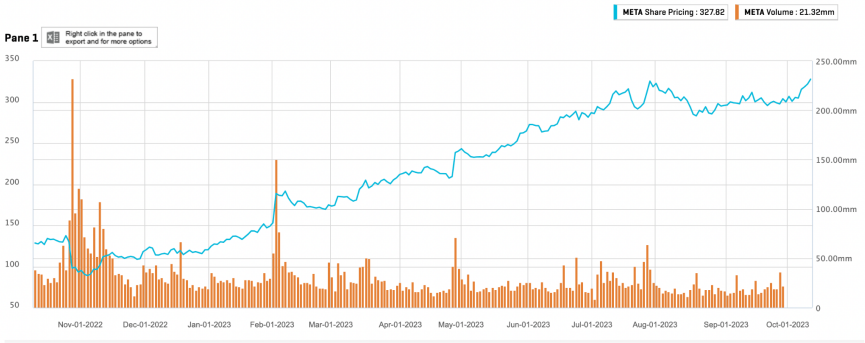
TMT (Tech, Media, Telecom)

By: Patrick Downing & Jihoon Chae

In the past year, the technology sector of the stock market has witnessed remarkable growth, with key players like Microsoft (MSFT), Apple (AAPL), and NVIDIA (NVDA) achieving impressive year-to-date (YTD) gains.

Microsoft, a tech giant, has experienced significant growth, boasting a 45.7% YTD increase. This can be attributed to the company's strong performance across various segments, particularly in cloud services and software products. Microsoft's innovative approach and the growing demand for its cloud computing solutions have bolstered investor confidence, contributing significantly to the sector's overall success..

Apple, another industry titan, has seen a notable 28.4% YTD growth. The company's success is rooted in robust sales of iPhones, Macs, and other devices, alongside the expansion of its services business, including Apple Music and the App Store. Apple's ability to innovate continually and maintain a loyal customer base has played a pivotal role in its stock market performance. Recently, Apple achieved a historic milestone, reaching a market capitalization of $3 trillion. This achievement underscores Apple's enduring popularity and its position as one of the most valuable companies globally. Beyond financial performance, this milestone reflects investor confidence in Apple's innovation and market presence, solidifying its status as a bellwether for the technology industry.



Financial Information (Currency: USD, in mm) View Details | Financial FAQs			
Total Revenue	120,525.0	Market Capitalization	828,146.3
EBITDA	44,914.0	Total Enterprise Value	811,678.3
EBIT	35,216.0	Cash & ST Invst.	53,446.0
Net Income	22,546.0	Total Debt	36,978.0
Capital Expenditure	(31,476.0)	Total Assets	206,688.0

Latest Annual: Income Statement Balance Sheet Cash Flow **Latest Interim:** Income Statement Balance Sheet Cash Flow

Currency in USD in mm, LTM as of Jun-30-2023 TEV and Market Cap are calculated using a close price as of Oct-10-2023

The Tech, Media, and Telecommunications sector can be categorized into different sub sectors per Investopedia. For example, Meta. **Meta** (formerly Facebook) is a significant player in the Tech, Media, and Telecommunications sector. Dominating its own subsector, Meta controls media through platforms like Instagram, Facebook, and WhatsApp. Over the past year, Meta's stock price has exhibited consistent positive growth. On October 11th,

2023, Meta's stock price reached $327.82, indicating a near 2% growth from the previous day. This substantial growth is a result of strategic initiatives, including workforce reductions, revamping online advertisements, and introducing engaging features like "Instagram Reels" and the new platform "Threads." These measures have transformed Meta's position in the sector, contributing to its success and reshaping its market standing.

In summary, the technology sector's recent performance highlights the industry's resilience and potential for substantial growth. Companies like Microsoft, Apple, and Meta have showcased their ability to innovate and adapt, driving investor confidence and shaping the sector's influence on the broader financial landscape.

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